



STRATHMORE EDUCATIONAL TRUST
STAFF PROVIDENT FUND

STRATHMORE EDUCATIONAL TRUST STAFF PROVIDENT FUND

STRATEGIC PLAN 2025 - 2030

ABRIDGED VERSION

The background of the slide features a close-up, slightly blurred image of a round analog clock with a dark face and white hands. In the foreground, three stacks of gold-colored coins are arranged in a row on a wooden surface. The stacks increase in height from left to right. A white rectangular box with a red border is positioned in the upper left quadrant, containing the main text.

Safeguarding Your
Retirement,
Promoting Your
Financial Freedom!

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Glossary

- **Active Members:** Persons for whom contributions have been remitted during the reporting period.
- **Additional Voluntary Contributions (AVCs):** Extra contributions made by members beyond mandatory amounts to enhance retirement benefits.
- **Assets Under Management (AUM):** The total market value of investments managed by the Fund on behalf of members.
- **Board of Trustees (BoT):** Individuals who collectively manage the trust into which the Fund assets are held on behalf of beneficiaries. They are held jointly and individually liable for decisions and are required to exercise duty of care.
- **Business Continuity Plan (BCP):** A documented plan outlining procedures to ensure the Fund can continue operating during and after a disruption or emergency.
- **Defined Contribution (DC) Fund:** A retirement fund where the contribution structure is prescribed in the Trust Deed and Rules. The member, not the employer/sponsor, bears the risk of any shortfall.
- **Deferred Members:** Persons who have left service and completed the claim form indicating whether they wish to withdraw part or all of their accrued benefits.
- **Environmental, Social, and Governance (ESG):** Investment criteria that consider environmental impact, social responsibility, and governance practices in addition to financial returns.
- **Income Draw Down (IDD):** An arrangement allowing a retiree to keep pension savings invested while gradually withdrawing income, rather than converting the entire amount into an annuity at retirement.
- **Income Replacement Ratio (IRR):** A measure of how much of one's final salary will be replaced by the equivalent pension/annuity amount in retirement.



Glossary

- **Investment Policy Statement (IPS):** A formal document outlining the Fund's investment objectives, asset allocation strategy, risk tolerance, and performance benchmarks.
- **Member-Elected Trustee:** A person elected through a transparent process by the members of the Fund to represent member interests on the Board.
- **Post-Retirement Medical Fund (PRMF):** A dedicated financial arrangement to accumulate and invest resources for financing medical expenses after retirement.
- **Provident Fund (PF):** A type of retirement fund that pays members a lump sum benefit (contributions plus investment returns) upon retirement or exit.
- **Retirement Benefits Authority (RBA):** The regulatory body overseeing pension and provident funds in Kenya.
- **Sponsor-Nominated Trustee:** A person nominated by the Sponsor (employer) to represent the employer's interests on the Board.
- **Trust Deed and Rules (TDR):** The legal document governing the establishment, operation, and administration of the Fund.



Introduction

This abridged version of the Strathmore Educational Trust Staff Provident Fund (SETSPF) Strategic Plan for 2025–2030 has been prepared specifically for members to provide clear insight into the Fund's strategic direction, priorities, and commitments over the planning period.

As a defined contribution (DC) provident fund serving the Strathmore community since 1990, SETSPF exists to secure sustainable retirement benefits for you and your dependents. This plan builds on a foundation of strong governance, clean financial audits, and regulatory compliance, while addressing the dynamic economic environment and evolving member needs.

Strategic Orientation



Vision

Safeguarding members' retirement by promoting financial freedom.



Mission

Preserving and transforming members' retirement through prudent investment and fostering financial independence.



Core Values

- **Collegiality** - We work together with mutual respect and shared commitment to serving members.
- **Service** - We exist to serve, placing your welfare above all else.
- **Integrity** - Honesty, transparency, and openness guide all our dealings.
- **Innovation** - We embrace new ideas and service excellence to deliver value.
- **Excellence** - We fulfill our obligations with consistency, focus, and a long-term perspective.



The Fund at a Glance

SETSPF was established by Strathmore Educational Trust Registered Trustees (SERT) and became operational on January 1, 1990.



The Fund serves employees of:

- **Strathmore University**
- **Strathmore School**
- **Eastlands College of Technology**
- **Strathmore Educational Trust Registered Trustees**
- **Strathmore Research and Consultancy Center (SRCC)**
- **Imara Educational Foundation**

As a DC provident fund, members receive the full balance of their contributions & accrued investment returns upon retirement. You may withdraw these benefits as a lump sum, use them to purchase an annuity, or transfer them into an Income Draw Down fund.

Current Assets & Membership (as at Quarter IV 2025)

AUM:
KES
2.9
Billion

1,067
Active
Members

812
Deferred
Members

1,879
Total
Members

The Fund is regulated by the **Retirement Benefits Authority (RBA)**, and registered with the **Kenya Revenue Authority (KRA)**.



STRATHMORE EDUCATIONAL TRUST
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Abridged Strategic Plan

What Shapes Our Strategy

Challenges

- Low member engagement—AGM attendance and feedback participation remain below desired levels.
- Market volatility and geopolitical risks may impact asset values.
- Falling fixed-income yields reduce portfolio returns.
- Multi-sponsor governance structure can slow decision-making
- Higher compliance costs from evolving regulatory requirements.

Opportunities

- Youthful member demographic creates opportunities for early financial literacy and increased lifetime contributions.
- Introduction of a Post-Retirement Medical Fund (PRMF) to add value for members.
- Investment diversification beyond government securities to improve returns and resilience.
- Growing focus on Environmental, Social, and Governance (ESG) investment practices aligns with member values.

Our Five Strategic Pillars

Investments



Drive Prudent Investment Growth

Objective: Optimize long-term investment performance to enhance member value.

Key Initiatives:

- Expand diversification beyond government securities into alternative asset classes.
- Conduct regular investment strategy forums with stakeholders.
- Update the Investment Policy Statement (IPS) to define growth targets and risk appetite.
- Implement asset-liability studies to address member exits and cash flow needs.
- Monitor fund manager performance through peer reviews and IPS compliance tracking.

Audit, Risk & Compliance



Enhance Governance Frameworks

Objective: Strengthen audit, compliance, & risk management to support Fund sustainability.

Key Initiatives:

- Formalize risk register reviews with quarterly updates to the Board.
- Expand financial audit scope to include risk and data audits.
- Conduct baseline governance audits and Board evaluations.
- Ensure 100% compliance with Data Protection Act, RBA regulations, and KRA requirements.
- Provide regular compliance training for Trustees and Secretariat.

Our Five Strategic Pillars

Communication & Engagement



Improve Member & Stakeholder Communication

Objective: Enhance communication through tailored, multi-channel engagement.

Key Initiatives:

- Develop and execute a structured communication plan targeting different member segments.
- Diversify communication channels—SMS, WhatsApp, in-person sessions, newsletters—to improve reach and engagement.
- Organize member education events on financial wellness, retirement planning, and Additional Voluntary Contributions (AVCs).
- Schedule "open member days" across sponsor institutions.
- Implement annual member satisfaction surveys and a feedback log to track concerns and measure engagement.

Operations



Strengthen Secretariat & Service Provider Effectiveness

Objective: Enhance operational efficiency and service excellence.

Key Initiatives:

- Develop and execute a HR plan to support strategic objectives, including succession planning and capacity mapping.
- Standardize Board reporting templates and introduce dashboard summaries.
- Enhance digital and document management systems (review current administrator platform).
- Develop and test Business Continuity Plans (BCPs) across Board and Secretariat.
- Optimize expense management through improved budgeting and monitoring processes.
- Ensure timely benefit payments and seamless service provider disbursements.

Governance



Build Leadership Continuity & Excellence

Objective: Strengthen oversight and capacity development for Trustees and Secretariat.

Key Initiatives:

- Review and implement Trustee term limits and succession planning linked to performance evaluations.
- Enhance Trustee onboarding and induction processes with comprehensive toolkits.
- Conduct annual Board and committee evaluations (self, peer, and Chair reviews).
- Institutionalize service provider evaluation processes tied to contract renewals.
- Provide ongoing training for Trustees and Secretariat, including attendance at conferences and seminars.



The Board of Trustees has identified five strategic objectives to guide the Fund's initiatives over the period. These pillars address current challenges and position the Fund to deliver enhanced value to members.



STRATHMORE EDUCATIONAL TRUST
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Success Measures

Monitoring and evaluating our strategic initiatives is essential to ensure accountability and continuous improvement. The Board has established clear success measures for each strategic pillar.

How We Will Track Progress?

Strategic Pillar	Success Measures
Investments	• Consistent investment return of inflation + 3.5% • Completion of at least 2 investment strategy forums annually • Quarterly asset-liability reports and IPS compliance tracking
Communication & Engagement	• 50% of members with real-time access to balances and information • Member education attendance up 50% year-on-year for target groups • AGM attendance up 20% year-on-year • AVC uptake up by 20% of members
Audit, Risk & Compliance	• 100% compliance with RBA, KRA, and Data Protection Act regulations • Zero repeat audit findings • Quarterly risk heatmap updates to Board
Governance	• 100% of Trustees attend at least one training session annually • Annual Board and committee performance evaluations completed • Succession plans and term limits implemented
Operations	• All benefit payments processed within 15 days • 100% implementation of structured communication plan • Updated digital platforms and document management systems • Tested and updated BCPs across operations



Investment Strategy & Financial Management

Key principles include:

Portfolio Diversification

Moving beyond concentration in government bonds to progressively diversify into alternative assets (real estate, private equity, offshore equities) to improve risk-adjusted returns.

Active Portfolio Management

Fund managers are required to comply with the IPS and benchmark performance globally, staying attuned to major market trends and opportunities.

Cost Efficiency

Adherence to prudent fiscal management, disciplined budgeting, and robust financial controls. Annual audits ensure accountability.

Long-term Focus

Investment decisions prioritize sustainable growth over the long term, balancing risk and return to protect and grow your retirement savings.



Risk Management

Safeguarding Your Future

A proactive approach to risk management is central to the Fund's sustainability and your retirement security.

Through these identified key strategic risks and mitigation strategies the Board reviews the risk register quarterly and reports to members annually through AGMs and progress reports.

Risk	Mitigation Strategy
Falling Fixed-Income Yields	Diversify into alternative assets; conduct regular IPS reviews and asset-liability studies.
Market Volatility & Geopolitical Risks	Active fund manager monitoring; global benchmarking; currency hedging for offshore investments.
Higher Compliance Costs	Integrate compliance costs into annual budgets; leverage robust procurement processes.
Low Member Engagement	Diversify communication channels; organize targeted education events; implement satisfaction surveys.
Multi-Sponsor Governance Complexity	Advance annual work plans; enhance Sponsor engagement; improve decision-making workflows.
Lean Secretariat Capacity	Develop HR plan; conduct capacity mapping; implement succession planning.
Data Protection & Cybersecurity	Register with Data Protection Commissioner; conduct platform audits; provide member education on digital rights.

Member Engagement

Your Voice Matters

We are committed to a two-way engagement through:

Regular Communication

Newsletters, educational webinars, SMS updates, WhatsApp broadcasts, and online portals keep you informed about Fund performance, policy changes, and opportunities.

Feedback Mechanisms

Annual satisfaction surveys, complaints and queries portals, and open member days enable you to share concerns and suggestions.



Financial Literacy Initiatives

Member education sessions on retirement planning, investment basics, AVCs, and wellness topics empower you to make informed decisions.

Annual General Meetings

AGMs provide a platform for transparency, accountability, and dialogue. Your attendance and feedback shape the Fund's

How You Can Engage

- Attend AGMs and member education sessions.
- Complete annual satisfaction surveys.
- Access your account information through the administrator portal.
- Consider making Additional Voluntary Contributions (AVCs) to enhance your retirement savings.
- Update your beneficiary forms regularly.
- Contact the Secretariat or Trustees with questions or concerns.



STRATHMORE EDUCATIONAL TRUST
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Abridged Strategic Plan

Governance & Oversight

The Fund is governed by a Board of Trustees representing both members and the Sponsor. The Board operates under a Trust Deed and Rules, formal Board Charter, Code of Conduct, and comprehensive governance policies, guided by principles of ethical leadership, transparency, and accountability.

Board of Trustees



Mr. Simon Munyui
Trustee (Sponsor Nominated)



Dr. Freshia Mugo-Waweru
Chairperson (Sponsor Nominated)



Mr. Caleb K. Chebon
Trustee (Sponsor Nominated)



Mr. Timothy Mutai
Trustee (Member Elected)



Mr. Lawrence Nganga
Trustee (Member Elected)



Ms. Naomi-May Mwangi
Trustee (Member Elected)



Mr. Raphael Karanja
Trustee (Member Elected)

Secretariat



Mr. Stephen Odhiambo
Trust Secretary



Ms. Mercy Wangari
Liaison Officer

Committees of the Board of Trustees

- **Finance, Investment, Audit and Risk Committee (FIAR):** Provides focused oversight on investment performance, financial management, and risk mitigation.
- **Communication, Administration and Risk Committee (CAR):** Oversees member communication, operational efficiency, and administrative compliance.

Trustees undergo regular training, annual performance evaluations, and adhere to strict conflict of interest policies.

Looking Ahead



The 2025–2030 Strategic Plan positions SETSPF to navigate a dynamic economic environment, enhance member value, and uphold the highest standards of governance and service.

Over the next five years, you can expect:

Improved investment returns through diversification and active management.

Enhanced communication and engagement tailored to your needs.

Robust risk management and 100% regulatory compliance.

Strengthened governance and operational efficiency.

Introduction of new products and services, including the Post-Retirement Medical Fund (PRMF).

Your retirement security is our priority. The Board of Trustees is committed to transparent, accountable execution of this plan and welcomes your feedback and participation throughout the journey.



STRATHMORE EDUCATIONAL TRUST
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Abridged Strategic Plan



Contact Us

For inquiries, feedback, or assistance, please contact:

Strathmore Educational Trust Staff Provident Fund

Secretariat Office

Email: trustees@strathmore.edu

Phone: +254 703-034000



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